

LocalAI

Windows User Manual

Offline-first local AI chat application

Install LocalAI, download a compatible GGUF model, place it in the models folder, and start chatting locally.

Application	LocalAI
Platform	Windows x64
Model format	GGUF
Application data	%LOCALAPPDATA%\LocalAI
Models folder	%LOCALAPPDATA%\LocalAI\models
Conversation database	%LOCALAPPDATA%\LocalAI\data\LocalAI.db

1. What You Need

- A Windows 64-bit computer.
- A LocalAI Windows installer from the GitHub Release.
- At least one compatible GGUF model file.
- Enough disk space for the model you choose.

2. Download LocalAI

Open the project's GitHub Releases page and download the Windows installer **LocalAI-Setup-vX.X.X.exe**. The release may also contain a ZIP package.

[GitHub Releases](https://github.com/Piklugithub/LocalAI/releases) — <https://github.com/Piklugithub/LocalAI/releases>

3. Install LocalAI

- 1. Start the installer.** Double-click **LocalAI-Setup-vX.X.X.exe**. If Windows requests administrator permission, allow it.
- 2. Installation location.** Keep the default **C:\Program Files\LocalAI** unless you have a specific reason to change it.
- 3. Desktop shortcut.** Enable the desktop shortcut option if desired.
- 4. Finish.** Start LocalAI from the Start Menu or desktop shortcut.

4. Download an AI Model

LocalAI does not bundle large language models with the installer. Download a GGUF model separately and copy it into LocalAI's models folder.

Recommended model 1 — Qwen2.5 0.5B Instruct

The official Qwen GGUF repository provides Q4_K_M at about 491 MB.

[Direct download](#) — [qwen2.5-0.5b-instruct-q4_k_m.gguf](#)

[Model page](#) — [Qwen2.5-0.5B-Instruct-GGUF](#)

Recommended model 2 — SmolLM2 1.7B Instruct

The Hugging Face GGUF repository provides Q4_K_M at about 1.06 GB.

[Direct download — smollm2-1.7b-instruct-q4_k_m.gguf](#)

[Model page — SmolLM2-1.7B-Instruct-GGUF](#)

Important: Download the GGUF files above. Do not place the original FP16/Transformers model files in the LocalAI models folder.

5. Create / Open the Models Folder

1. Press **Windows + R**, enter `%LOCALAPPDATA%\LocalAI`, and press Enter.
2. Open the **models** folder. The complete path is:

```
%LOCALAPPDATA%\LocalAI\models
```

3. If the **models** folder does not exist, create it manually.
4. Copy the downloaded **.gguf** file directly into this folder. Do not put it inside another nested folder.

Example:

```
%LOCALAPPDATA%\LocalAI\models\qwen2.5-0.5b-instruct-q4_k_m.gguf
%LOCALAPPDATA%\LocalAI\models\smollm2-1.7b-instruct-q4_k_m.gguf
```

6. Start LocalAI and Load the Model

1. Launch LocalAI from the desktop shortcut or Start Menu.
2. Wait for initialization and model discovery.
3. If multiple GGUF models are available, use the model selector to choose one.
4. The first model load can take some time depending on the model and your computer.

7. Start a Conversation

- Type a question or prompt in the chat input.
- Send the message to start local inference.
- The response is streamed into the chat as it is generated.
- Use **Stop** to stop an in-progress response.
- Use **New Chat** to start a separate conversation.
- Conversations are stored locally.

8. Switching Models

If both models are installed, select a model from the model selector. LocalAI unloads the current model and loads the selected local model.

Smaller models generally use less memory and disk space; actual response quality and speed depend on the model and your hardware.

9. Where LocalAI Stores Data

Purpose	Location
Application data	%LOCALAPPDATA%\LocalAI

Models	%LOCALAPPDATA%\LocalAI\models
Conversations	%LOCALAPPDATA%\LocalAI\data\LocalAI.db

Models and conversation data are separate from the application installation directory. Uninstalling LocalAI does not require placing models or the database under Program Files.

10. Offline / Privacy Behavior

- LocalAI is designed as an offline-first desktop application.
- Inference runs locally using the GGUF model installed on your computer.
- Prompts, responses, and conversations are stored locally by the application.
- Downloading a model requires internet access; once the model is local, LocalAI can use it without a cloud AI API.

[Project privacy policy — PRIVACY.md](#)

11. Troubleshooting

No models appear. Confirm the file ends in **.gguf** and is directly inside **%LOCALAPPDATA%\LocalAI\models**. Restart LocalAI after copying a new model.

Model fails to load. Confirm the download completed successfully and that the model is a compatible GGUF instruction/chat model.

Responses are slow. Local inference speed depends on CPU, memory, model size, context settings, and other system activity. Try Qwen2.5 0.5B first.

Cannot find the LocalAI folder. Press Windows + R and enter **%LOCALAPPDATA%\LocalAI**. Start LocalAI once if necessary.

Reinstalling. Uninstall LocalAI from Windows Settings and install the new release. Keep your local models and conversation data if you want to preserve them.

12. Recommended First-Time Setup

- Install LocalAI using the Windows installer.
- Start LocalAI once.
- Open **%LOCALAPPDATA%\LocalAI\models**.
- Download the Qwen2.5 0.5B Q4_K_M GGUF model.
- Copy the .gguf file into the models folder.
- Restart LocalAI if the model is not visible.
- Select the model and send: **Hello! Tell me what you can do.**
- Optionally add SmolLM2 1.7B Q4_K_M after the first model works.

13. Project and Support

Source code, releases, issues, and documentation are available on GitHub.

[LocalAI GitHub Repository](#)

[LocalAI Releases](#)

Model licensing: Qwen2.5-0.5B-Instruct-GGUF and SmolLM2-1.7B-Instruct-GGUF are third-party model distributions. Review the applicable model card and license before commercial use or redistribution.

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